For Performance Measurement

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTING **4051/2**
PAPER 2 2 hours 30 minutes

NOVEMBER 2025 SESSION

Additional materials:
Answer booklet
Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number on the answer booklet provided.

Answer **all** questions.

Write your answers on the separate answer booklet provided.

All calculations must be shown adjacent to the answer.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [ ] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are intended to be fictitious.

This question paper consists of 8 printed pages.

1 B. Bango operates a departmental store with two departments namely Gifts and Books. The following was his trial balance:

Trial Balance as at 30 June 2020.

	Dr	Cr
	$	$
Sales: Gifts		75 000
Books		95 000
Purchases : Gifts	61 900	
Books	65 600	
Inventory, 1 July 2019: Gifts	16 200	
Books	22 100	
Sales returns: Gifts	1 500	
Books	2 400	
Delivery vans at cost	45 000	
Furniture at cost	12 450	
Provision for depreciation, 1 July 2019:		
Delivery vans		4 500
Packaging expenses: Gifts	1 100	
Salaries and wages	2 030	
Trade receivables	15 000	
Trade payables		12 220
Rent	3 000	
Insurance	1 400	
Discounts	1 720	3 280
Carriage inwards	12 000	
Carriage outwards	850	
Bank	25 750	
Capital		100 000
	290 000	290 000

Additional information available on 30 June 2020:

(i) Inventory: Gifts $14 200
Books $12 700

(ii) Carriage inwards were apportioned: $\frac{1}{3}$ Gifts and $\frac{2}{3}$ Books.

(iii) Rent owing was $600.

(iv) A provision for doubtful debts equal to 5% of trade receivables was created.

(v) Insurance was paid up to 30 August 2020.

(vi) Depreciation is provided for as follows:
Delivery vans at 10% per annum using the reducing balance method.
Furniture at 20% per annum on cost.

Prepare:

(a) the Departmental Trading Account, in columnar form, for the year ended 30 June 2020. [9]

(b) the Combined Profit and Loss Account for the year ended 30 June 2020. [7]

(c) a Statement of Financial Position extract on 30 June 2020 showing current assets only. [4]

2 **(a)** S. Jumbo operates a grocery shop. The following balances were taken from his books on 1 August 2020:

	$
P. Mudavanhu	2 000 Cr
R. Mutema	1 800 Dr

During the month, the following transactions took place:

August 3 Bought groceries on credit from P. Mudavanhu for $15 000.
5 Groceries sold on credit to R. Mutema were valued at $10 000.
8 Groceries returned to P. Mudavanhu amounted to $1 900.
10 It was discovered that R. Mutema had been overcharged $2 100 for groceries sold on 5 August.
30 R. Mutema was declared insolvent and the amount due was written off as irrecoverable.

The following is a Cash Book extract of S. Jumbo:

Cash Book

Date	Details	Discount	Cash	Bank	Date	Details	Discount	Cash	Bank
2020		$	$	$	2020		$	$	$
Aug 19	R. Mutema	470		4 700	Aug 14	P. Mudavanhu	100	900	
					26	R. Mutema	470		4 700

Prepare, in the ledger of S. Jumbo:

(i) P. Mudavanhu's Account, [5]

(ii) R. Mutema's Account. [7]

(b) The following information was taken from the books of G. Gangata:

Trade receivables

	$
31 December 2018	60 500
31 December 2019	72 100
31 December 2020	70 400

He maintained the provision for doubtful debts at 5% of trade receivables.

Prepare a Provision for Doubtful Debts Account for the years 2019 and 2020. [5]

(c) List **three** methods of calculating depreciation. [3]

3 (a) The following information was obtained from the books of K. Mutasa for the month of September 2021:

		$
September 1	Trade payables	2 011 Cr
30	Credit purchases	22 162
	Returns inwards	600
	Purchases returns	1 717
	Interest charged by suppliers for overdue payments	827
	Cheques paid to suppliers	22 253
	Sales ledger balances transferred to purchases ledger	418

Prepare the Trade Payables Control Account. [7]

(b) The following is J. Nkomo's subsidiary book:

General Journal

Date	Details	Folio	Debit	Credit
2021			$	$
Nov 10	Good Stationers	GL12	2 000	
	Stationery	GL10		2 000
15	Drawings	GL13	5 000	
	Purchases	GL4		5 000
20	Equipment	GL14	60 000	
	B & B Suppliers	GL15		60 000

(i) List any **three** uses of the general journal. [3]

(ii) Interpret each of the entries from 10 November to 20 November 2021. [3]

(c) L. Lunga had the following balances on 30 September 2020:

	$
Motor vans	8 500
Furniture	6 320
Bank	4 570
Trade receivables	1 900

On the same date, the following errors were discovered;

(i) Motor vans bought for $2 500 by cheque were not recorded in the books.

(ii) Furniture repairs worth $1 420 were debited to the Furniture Account.

(iii) A dishonoured cheque of $600 was debited to the Bank Account and credited to Trade Receivables Account.

Prepare a Statement of Financial Position extract on 30 September 2020 showing non-current assets and current assets after correcting the above errors. [5]

(d) State one difference between preference shares and ordinary shares. [2]

4 (a) On 30 April 2020, the Cash Book of F. Charamba showed a credit balance of $5 800 which did not agree with the bank statement balance on the same date.

On comparing the Cash Book and the Bank Statement, it was found that the following items were included in the bank statement only.

	$
Dividends received: Grant Ltd	3 400
Bank charges	400
Stop order: Rates	2 100
Credit transfer: Jumani	2 800
Dishonoured cheque from B. Shoko	1 900

Additional information on 30 April 2020:

(i) A cheque of $2 300 paid to J. Mufunda, a supplier , was recorded in the Cash Book as $3 200.

(ii) Cheques issued to suppliers but not yet presented for payment amounted to $1 850.

Prepare an updated Cash Book at 30 April 2020. [8]

(b) Neuso Ltd had the following information on 1 January 2020.

	$
Authorised Share Capital	
Ordinary shares of $0,50 each	400 000
10% Preference shares of $1 each	300 000
Issued Share Capital	
Ordinary shares of $0,50 each	250 000
10% Preference shares of $1 each	100 000
Reserves	
General reserve	20 000
Profit and loss	16 000
5% Debentures	50 000

During the year, the company paid half of the preference dividends and 2 cents per share on ordinary shares.
Net profit for the year was $15 500 before debenture interest.
On 31 December 2020, the directors decided to increase the general reserve to $24 000.

Prepare a Statement of Changes in Equity for Neuso Ltd for the year ended 31 December 2020. [7]

(c) Identify the source document of each of the following subsidiary books:

(i) Sales journal, [1]

(ii) Returns outwards journal, [1]

(iii) Cash book, [1]

(iv) Petty cash book, [1]

(v) Returns inwards journal. [1]

5 (a) (i) Outline any **four** contents of a partnership agreement. [4]

(ii) Mandy and Tandy are partners sharing profits and losses in the ratio 3:2 respectively. The details given below were extracted from their books on 31 December 2020 after the preparation of the appropriation account.

		$
Net profit for the year		12 500
Interest on drawings:	Mandy	600
	Tandy	400
Salary: Mandy		9 000
Interest on capital:	Mandy	20 000
	Tandy	15 000
Share of profits:	Mandy	12 000
	Tandy	8 000
Drawings:	Mandy	6 000
	Tandy	4 000

Prepare the partners' Current Accounts on 31 December 2020. [7]

(b) Mrs Phiri started business on 1 January 2021 with $100 000 in the bank account. Unfortunately, she did not keep proper books of accounts. The following information was available on 31 December 2021:

(i) During the year Mrs Phiri took goods costing $10 000 from the business for own use.

(ii) Mrs Phiri brought into the business her private vehicle valued at $30 000.

(iii) Mrs Phiri's capital on 31 December 2021 was $140 000.

Calculate Mrs Phiri's net profit or net loss for the year ended 31 December 2021. [5]

(c) The following subsidiary books are for B. Zulu, a sole trader.

Sales Journal

Date	Details	Folio	Debit	Credit
2021			$	$
May 7	P. Gushungo	SL1	11 200	
27	R. Mamvura (i)	SL3	8 800	
31	Sales (ii)	GL1		20 000

Returns Inwards Journal

Date	Details	Folio	Debit	Credit
2021			$	$
May 10	P. Gushungo (iii)	SL1		1 200
31	Returns inwards (iv)	GL3	1 200	

Give a transaction represented by each of the entries marked (i) to (iv) in the above subsidiary books. [4]